



UMEME
Powering Uganda

HI
2022

Half Year 2022 Results Presentation

Overview

1. Country Macroeconomic Update

2. Sector Update

3. Operational Performance

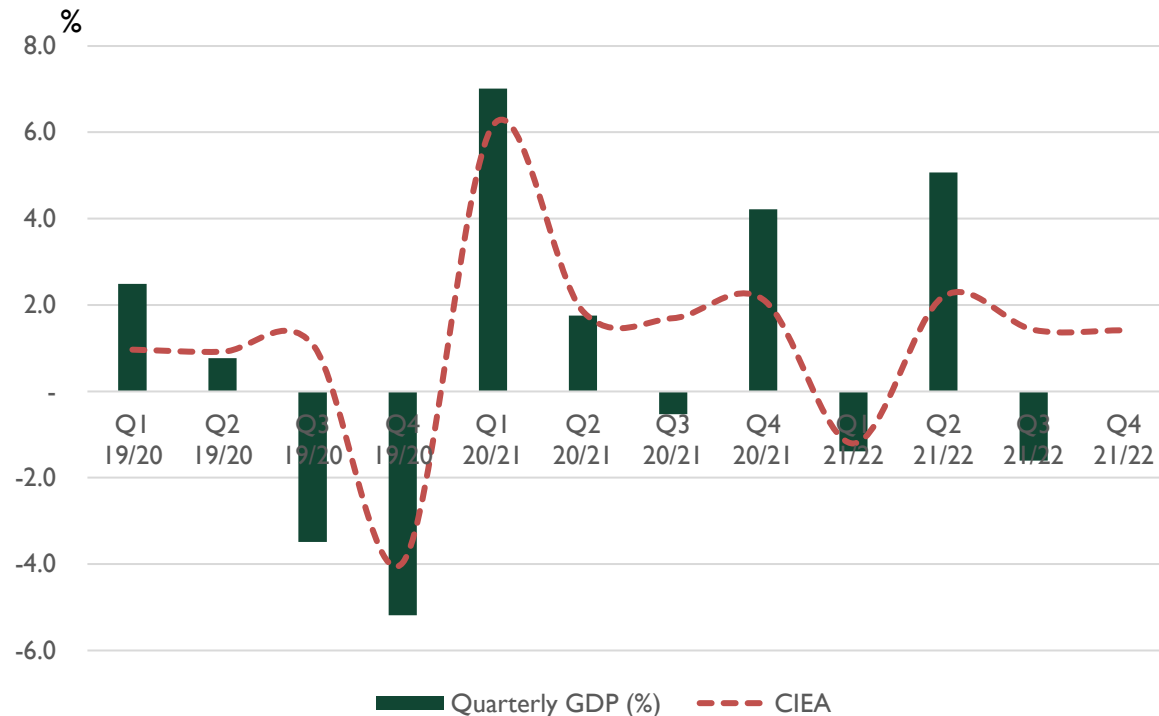
4. Financial Overview

5. Key Focus Areas

6. Trading Update

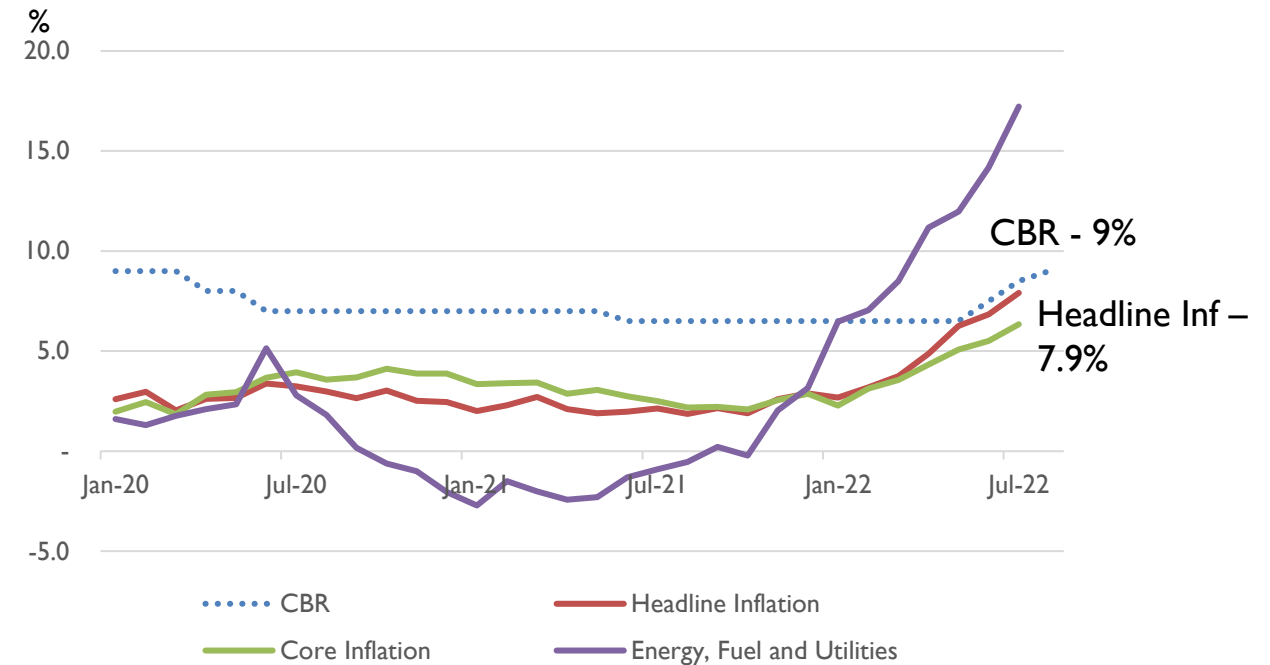
Uganda Economic Update

Quarterly GDP Contracted in Fiscal Q3



- Economy contracted 1.6% in fiscal Q3 on fears of global recession, weaker business and consumer sentiments
- GDP growth in 2022 projected to range between 2.5% to 3% but rising to 5%-6% in 2023 driven by public investments and recovery in demand

Interest Rates & Inflation



- Inflation pressures stemming from external environment, dry weather and currency depreciation. International fuel prices driving EFU Index surge.
- Central Bank raised benchmark rate 250bps in 3 monthly consecutive sessions to contain inflation. CBR was flat at 6.5% between June 2021 and May 2022.

Uganda Economic Update

Currency Depreciation

UGX/USD



- UGX has weakened 9% against the US Dollar by close of July 2022.
- Currency performance influenced by rate tightening in advanced economies

Sector & Business Update



Amendment of the Electricity Act

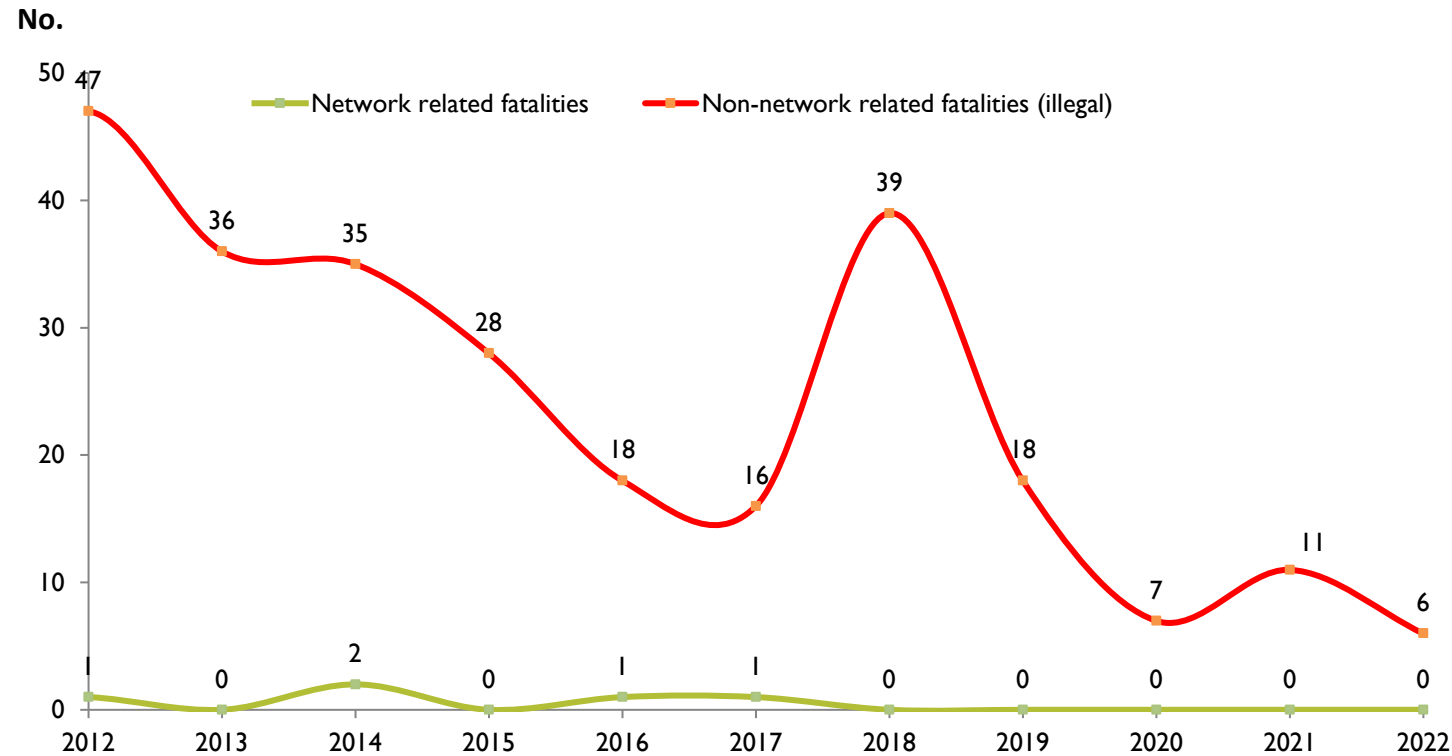
Act signed on June 8th 2022, and provides for;

- Increased penalties for power theft and vandalism
- Strengthening of regulatory framework
- Structure of the industry to allow generator to customer and cease single –buyer model
- Implementation subject to development of regulations

Regulatory Developments

- HI tariff distribution margin averaged 35.1%

Safety Report



We recorded 6 non attributable fatalities related to network interference, power theft and unauthorized operations.

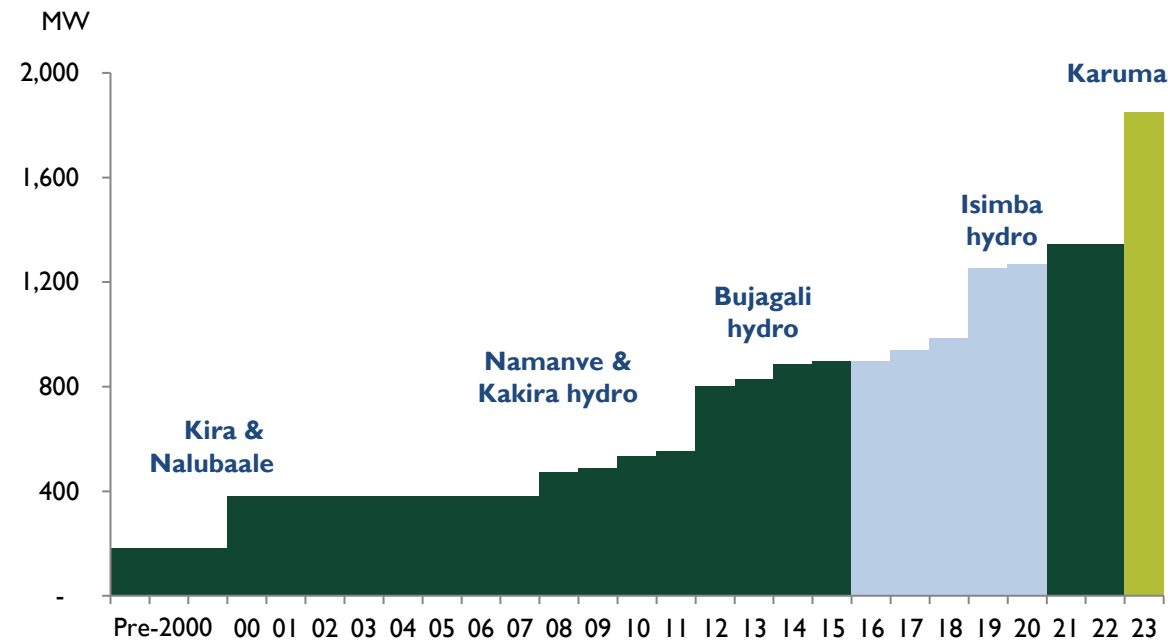
Your Safety is our priority

Stay Alert, Stay Safe, Save Lives



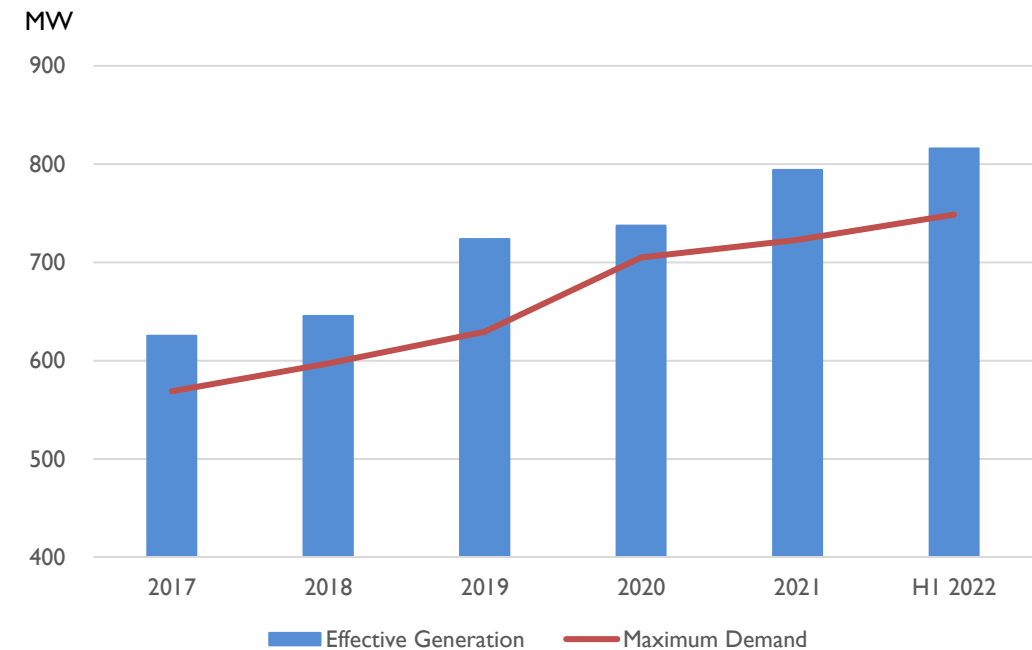
Electricity Supply-Demand Outlook

Installed Generation



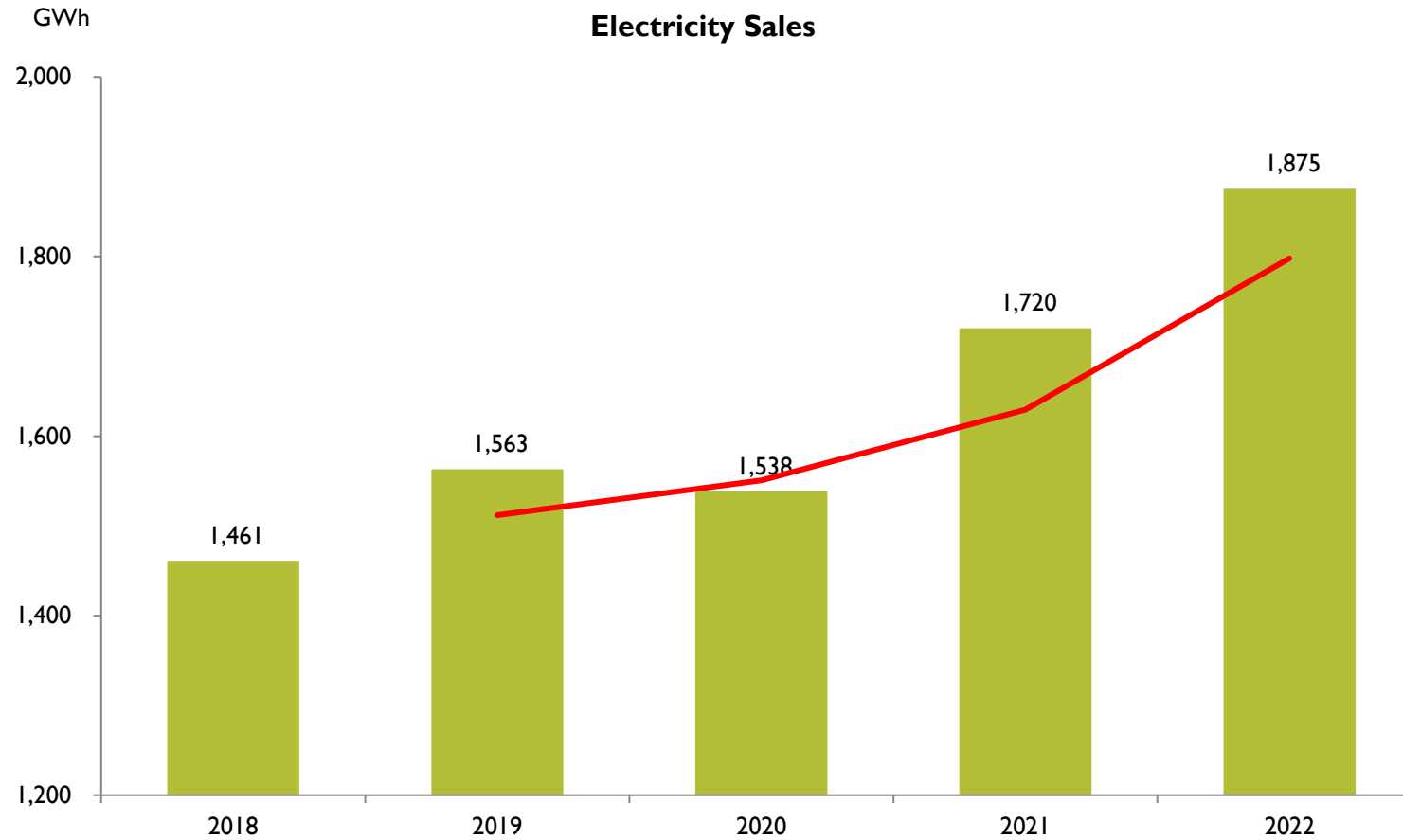
- ✓ Installed generation capacity at 1,346 MW vs 380 MW at the start of the Concession.
- ✓ Effective Generation 987 MW
- ✓ Karuma anticipated commissioning to provide buffer capacity.

Maximum Demand



- Maximum demand 5-year Compounded Annual Growth Rate at 5.6%.
- Supply challenge at Isimba HPP in Aug 2022 but restoration in progress
- Peak Demand ~ 816 MW

Energy Demand Resilient: +9%



- Double-digit consumption growth in domestic, commercial, medium – industrial and large-industrial customers
- Driven by reduction in Energy Not Served (ENS), Energy Loss reduction to 17.1%, consumption growth and new connections

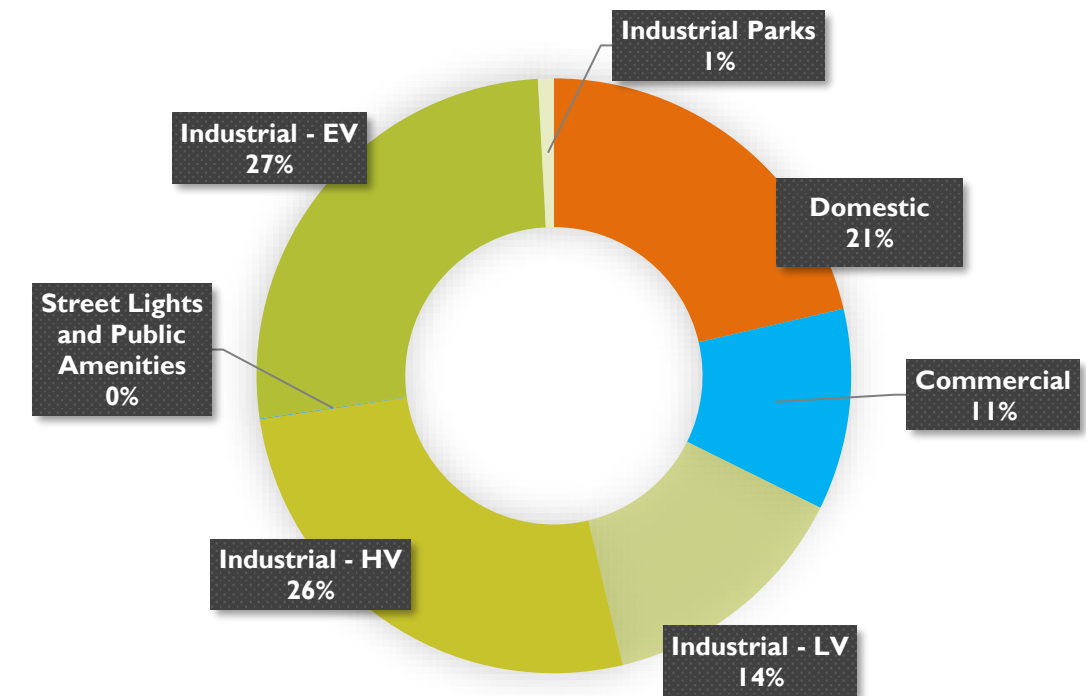
Electricity Sales

Consumption per Customer Class

Customer Category	HI 2022 (GWh)	HI 2021 (GWh)	Growth (%)
Domestic	401.0	359.7	11.5%
Commercial	205.1	183.7	11.6%
Industrial – LV	261.8	237.4	10.3%
Industrial – HV	494.6	446.4	10.8%
Industrial - EV	495.8	492.1	0.7%
Industrial Park	16.1	-	-
Street Lighting & Public Amenities	1.0	0.9	7.7%
Total	1,875.4	1,720.2	9.0%

- ✓ Double digit growth across higher margin consumers

% Share of Electricity Sales



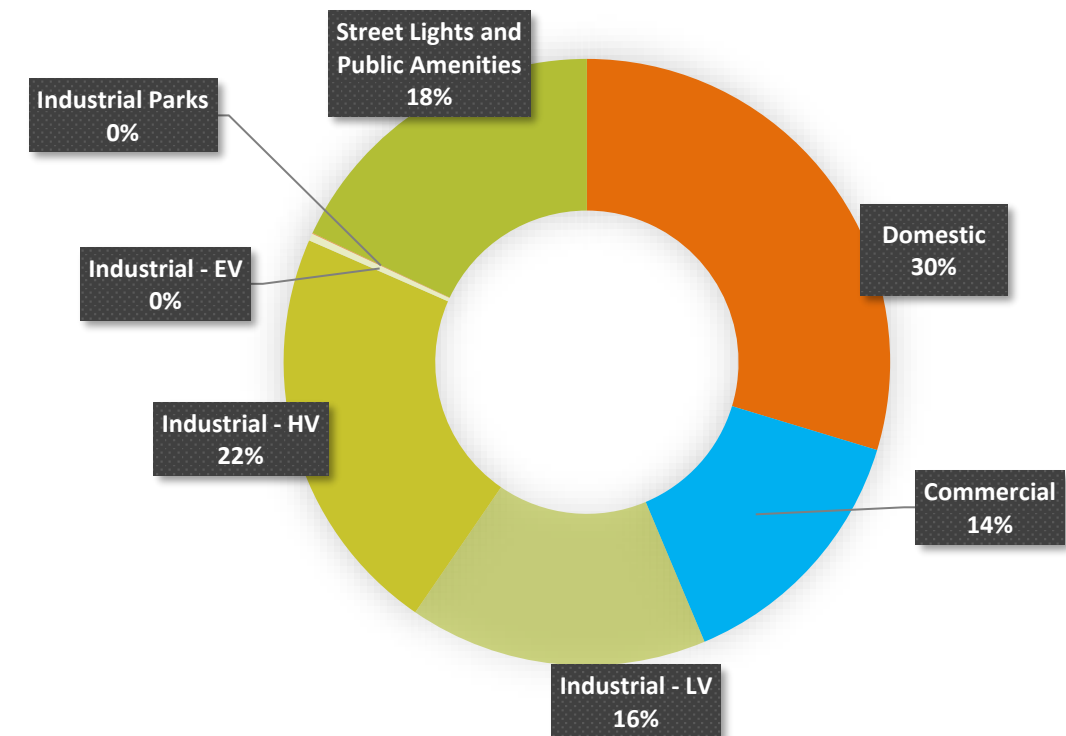
Revenue Composition

Revenue per Customer Class

Customer Category	HI 2022 (Ushs bn)	HI 2021 (Ushs bn)	Growth (%)	No.
Domestic	261.1	244.7	6.7%	1,600,133
Commercial	122.9	119.3	3.1%	88,716
Industrial – LV	140.0	150.3	-6.8%	3,133
Industrial – HV	193.6	177.5	9.1%	634
Industrial - EV	158.3	156.6	1.1%	53
Industrial Park	3.4	-	-	
Street Lighting & Public Amenities	0.4	0.3	5.9%	309
Total	879.7	848.6	3.7%	1,692,978

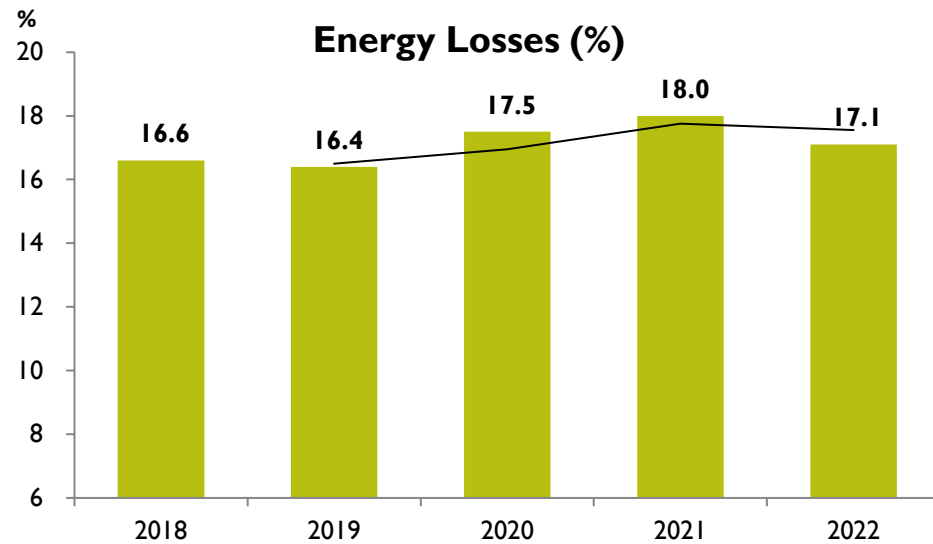
- ✓ Double digit growth across higher margin consumers

% Share of Revenue

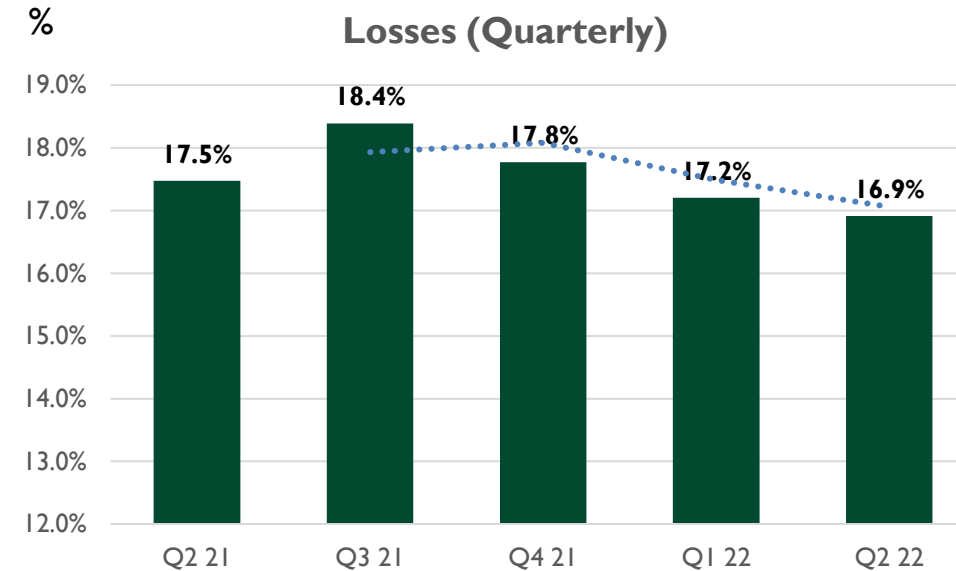


Energy Losses

Strong Energy Loss Reduction in H1



- Loss-reduction activities resumed following the re-opening of the economy.
- Piloted the use of CSR and Rolled out a CSR and community partnerships to address losses and safety records in low-income areas



- Strong quarter-on-quarter improvement in losses
- 3 Month Moving Average of 16.3% vs 17% year-to-date

Energy Losses: Community Engagement

Project Pamoja “Together”

CSR-Based:

Umeme working closely with local leaders, existing institutions and artisans

Project Objectives

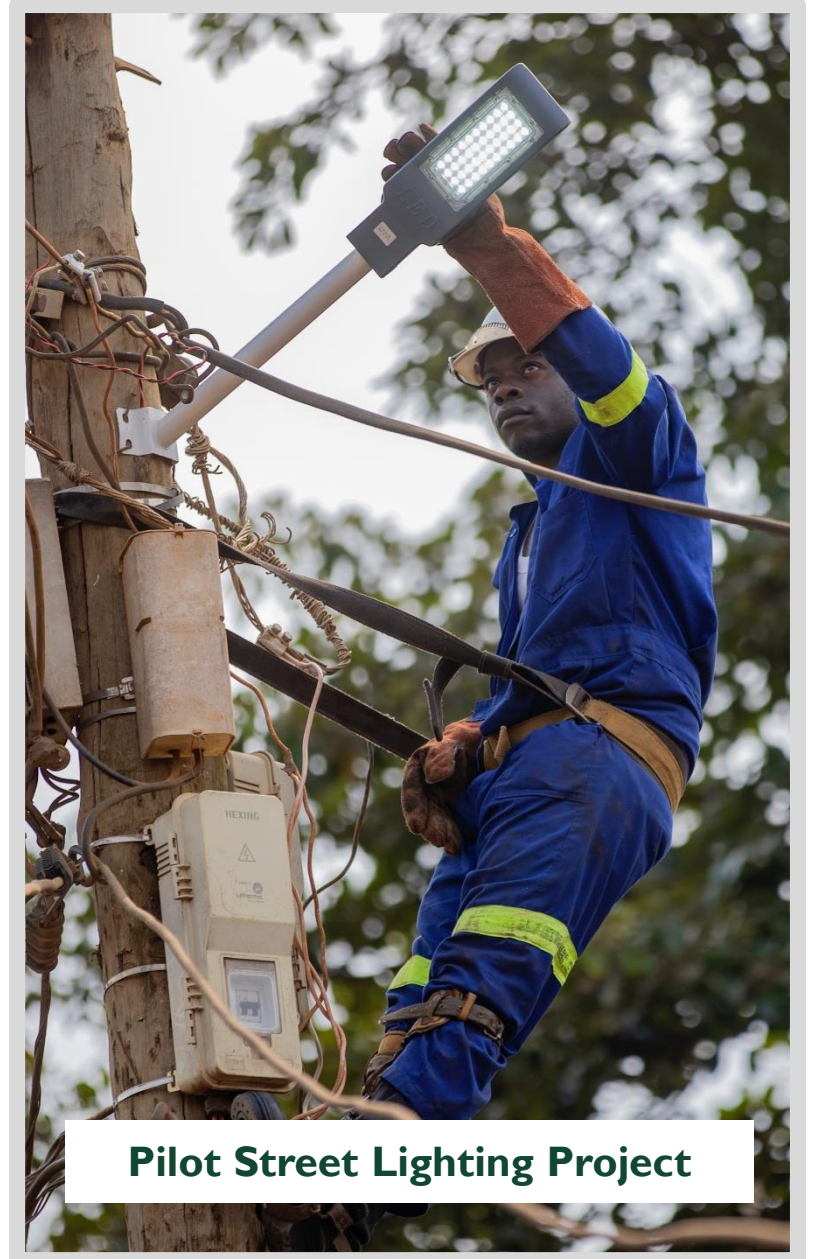
- Create trusting relationships
- Reduce losses
- Reverse illegal connections
- Improve Safety in the slums



Re-Training Uncertified Wiremen

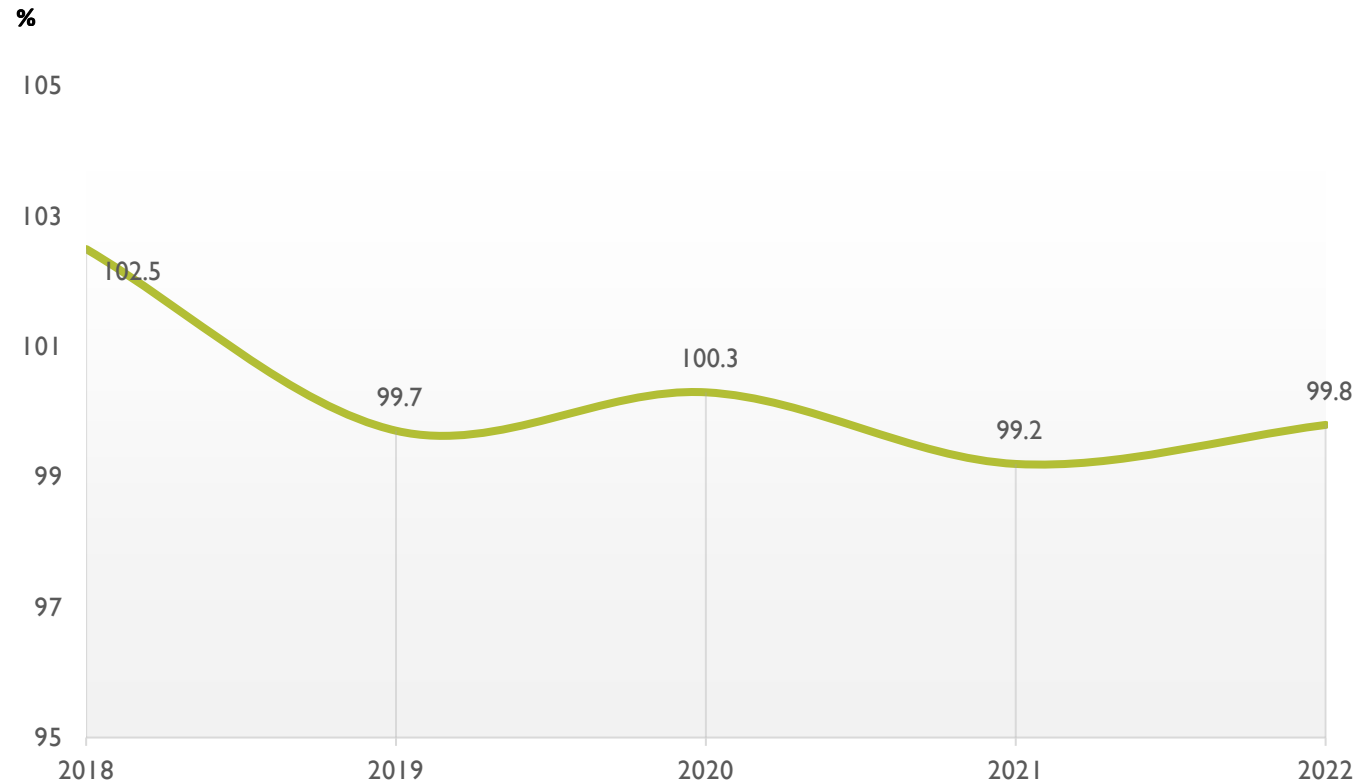


Entrepreneurship Training



Pilot Street Lighting Project

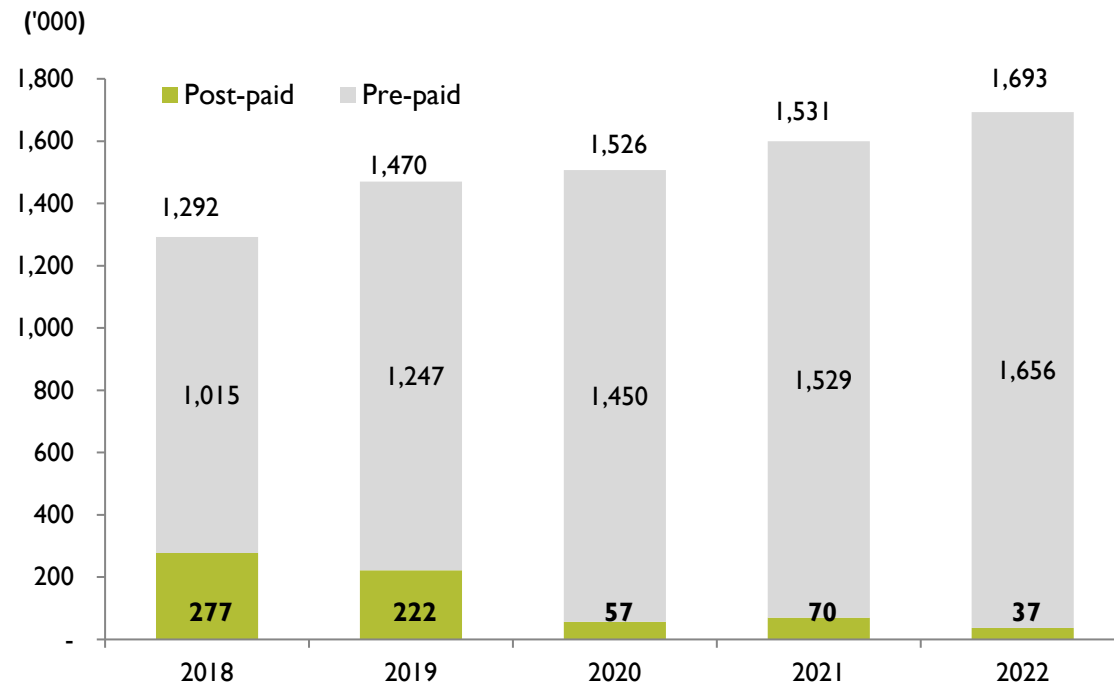
Cash Collections



- HI 2022 revenue collection rate was **99.8%**.
- Cash collections have remained high owing to investments in technology and payment infrastructure.

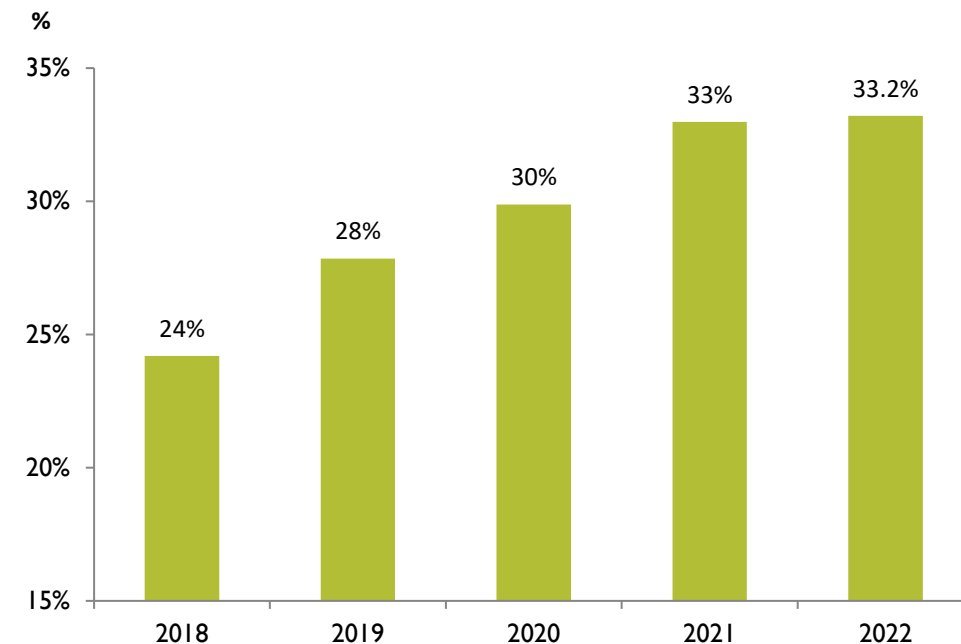
Customer Connections

Customer Numbers



Customer connections projected to strengthen in H2 2022 following provision of ECP Funding in the tariff

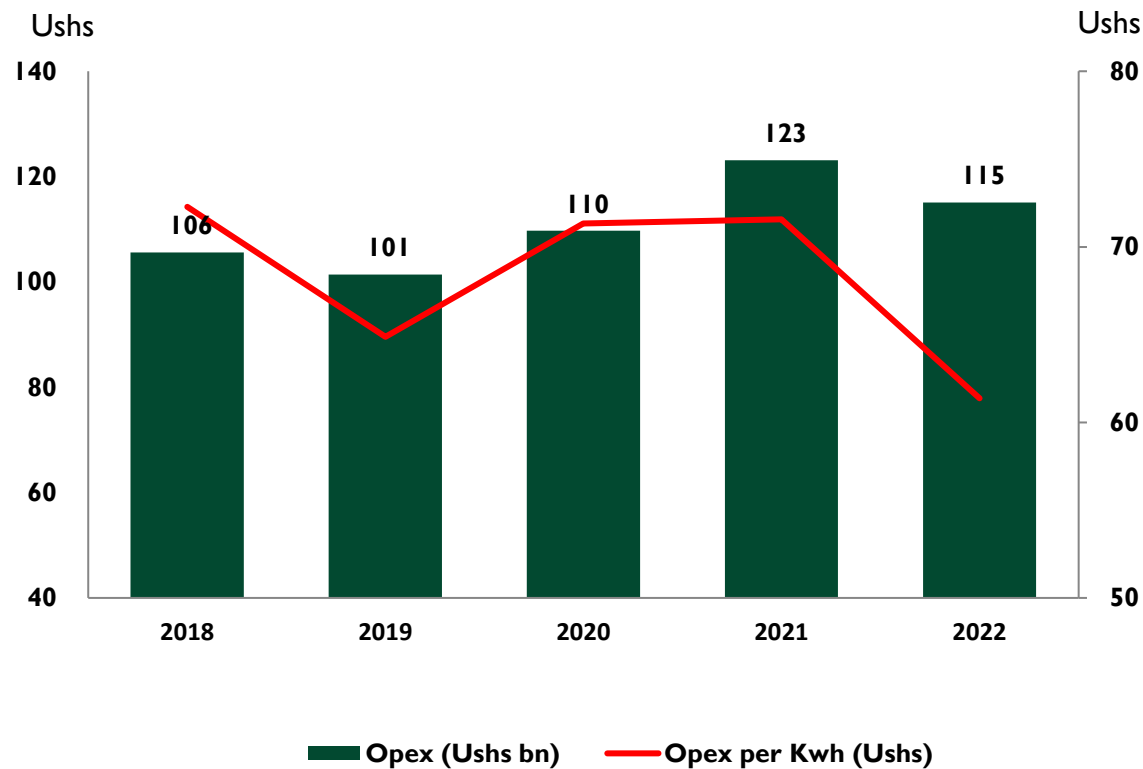
Prepaid % of Total Revenue



- 33% of revenues attributed to prepaid customers.

Drive to Cost-Efficiency

Operating Expenses declined 6.5% y/y



- HI Cost performance was supported by business reorganization implemented at the start of 2022
- Metering and Network Operations countrywide combined into nimbler zones
- Insourced services into the business. Contractors deployed only on capex delivery
- HI Costs at \$32m vs full-year allowance of \$63m

Financial Overview (\$m)

Income Statement	HI 2022	HI 2021	%ch
Revenue	249.4	255.6	-2.5%
Cost of Sales	172.0	173.4	-0.8%
Gross Profit	77.4	82.3	-5.9%
Operating Expenses	(32.0)	(33.9)	-5.7%
EBITDA	45.3	47.9	-5.4%
Finance Costs (ex. lease)	(4.9)	(6.2)	-21.3%
PBT	29.7	17.8	66.8%
Profit After Tax	21.8	11.9	82.8%

Financial Position at	HI 2022	FY 2021	%ch
Total Assets	702.6	706.4	-0.5%
Shareholders Equity	250.1	251.6	-0.6%
Net Debt	75.3	107.5	-29.9%

Operating cashflow	58.9	47.6	23.6%
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- Revenue contraction attributed to pricing in tariff for large customers. Umeme Gross Margin increased to 31% vs 27.3% in HI 2021.
- Lower finance costs due to reducing size of LT debt
- Profit after tax increased 83% to \$21.8m
- Net debt reduced 30% from FY2021 close

Financial Overview (Ushs bn)



Income Statement	HI 2022	HI 2021	%ch
Revenue	897.0	927.9	-3.3%
Cost of Sales	618.6	629.3	-1.7%
Gross Profit	278.4	298.6	-6.7%
Operating Expenses	(115.1)	(123.1)	-6.5%
EBITDA	162.8	173.7	-6.3%
Finance Costs (ex. lease)	(17.6)	(22.6)	-22.0%
PBT	92.8	69.6	33.3%
Profit After Tax	64.4	48.2	33.4%

Financial Position at	HI 2022	FY 2021	
Total Assets	2,644.9	2,507.3	5.5%
Shareholders Equity	941.5	893.2	5.4%
Net Debt	283.5	381.5	-25.7%

Operating cashflow	212.7	171.0	24.4%
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- Revenue contraction attributed to pricing in tariff for large customers. Umeme Gross Margin increased to 31% vs 27.3% in HI 2021.
- Lower finance costs due to reducing size of LT debt
- Profit after tax increased 33% to Ushs 64.4 billion
- Net debt reduced 26% from FY2021 close

Concession: Financial Priorities

Reduce Leverage



Long-term debt to be fully repaid at 31st Dec 2023.

Optimize Capital Expenditure



Sustainable capex focused on growth and reliability. Guidance ~ \$30m-\$40m

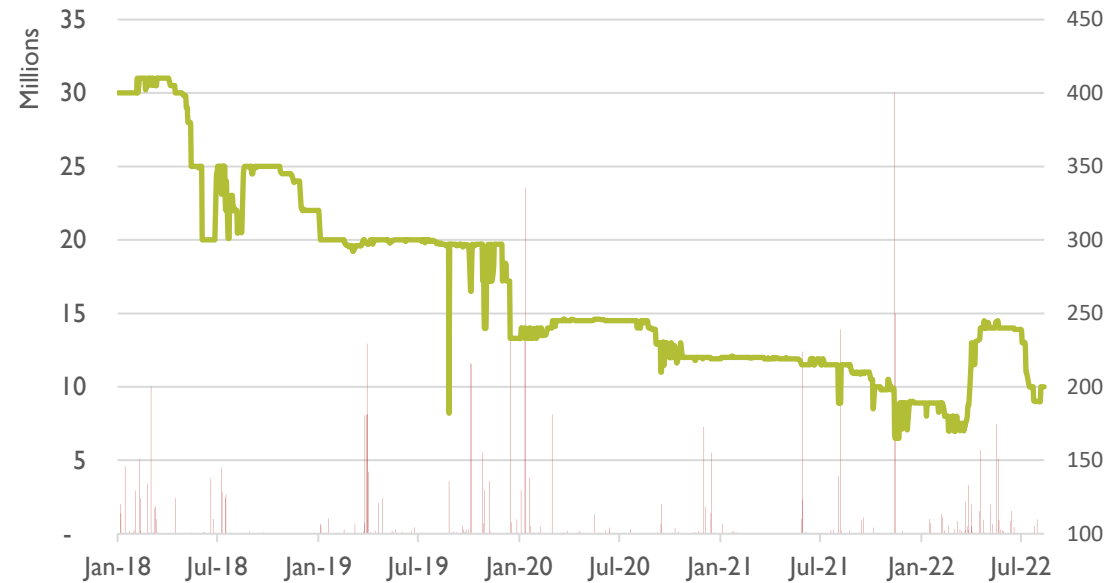
Dividends



Distribute free cash flow in line with company policy.

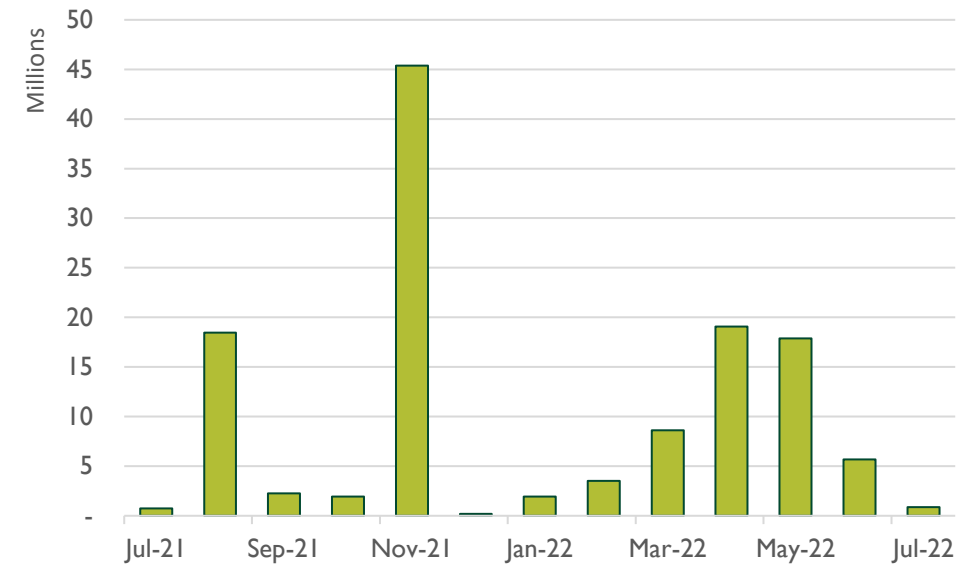
Trading Update

Trading Performance (USE)



Shareholding Mix (June 2022)	%Held
Local Institutional & Retail	34.6%
East Africa Institutional & Retail	6.9%
Foreign Investors	57.5%
Directors & Employees	1.0%

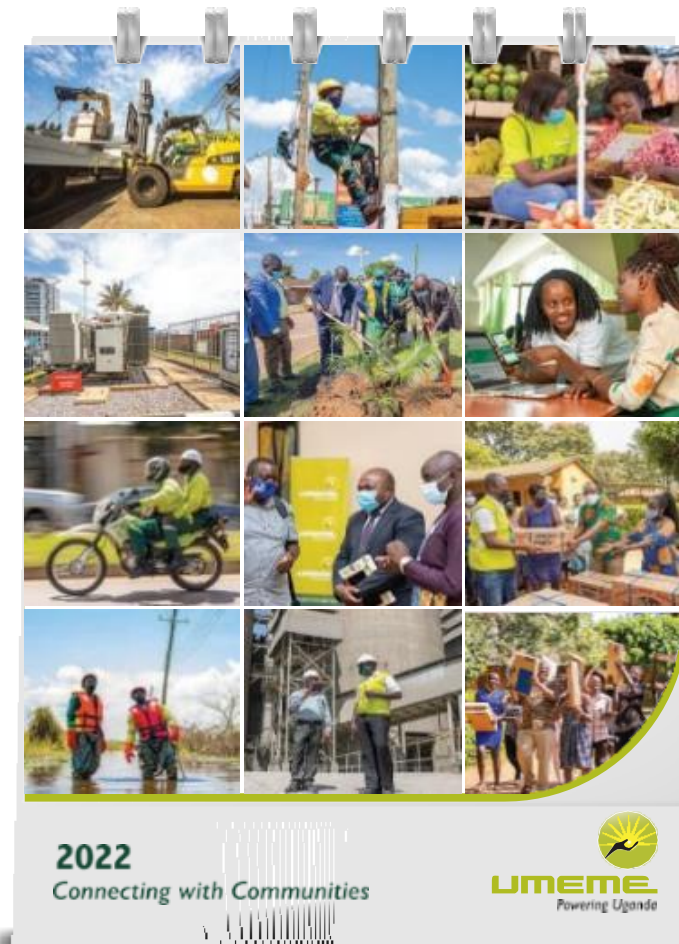
Total Monthly Volumes Traded



	Multiple
EV/EBITDA*	1.9x
Price /Buy-Out less Net Debt	0.2x
Price to Earnings*	2.5x
*Denominator annualized	

Investor Relations Calendar

**19th – 20th
September 2022:**
EFG Hermes
Conference



Question & Answer